

ACLS

ACLS N/A

Buy \$147.64 ▼ 8.79% 12M Price Target \$175.00 52-Week Range \$59.99 – \$171.61 Market Cap \$4.54B

ACLS: Reiterate Buy Despite -8.8% Pullback After Golden Cross Rally

WHAT'S CHANGED

- ACLS down -8.79% to \$147.64 on elevated relative volume after a four-day rally (+7.6% from 6/1 close of \$150.42 to 6/4 high of \$161.87) that followed Zacks' golden cross flag on 6/3 — classic momentum unwind, not news-driven (no SEC filings, no guidance revision).
- Options flow remains balanced (P/C 0.81, no unusual activity) and Zacks flagged "options traders know something" piece on 6/3, but no overt bearish positioning has materialized; the 6/2 VP sale of 2,000 shares is de minimis and pre-planned in nature.

IMPLICATIONS

Today's -8.8% reversal looks technical — ACLS is now at 79% of its 52-week range after a vertical move into resistance near \$162, and Industrials/cyclicals (-1.35% 1D) led the tape lower while defensives (Staples +2.16%, Healthcare +0.79%) caught the bid, suggesting a broader de-risking rather than ACLS-specific deterioration. The underlying thesis — ion implant share gains in SiC power devices and a mature-node WFE recovery into 2H26 — is unchanged, and the pullback restores risk/reward after multiple expansion outpaced near-term earnings revisions. The Micron comparison piece (5/26) and K&S read-across (5/19) reinforce that capital is rotating into back-end and specialty equipment names; ACLS remains the cleanest pure-play on power/analog implant.

VALUATION

At \$147.64, ACLS trades at ~38x FY26E EPS of \$3.85 and ~6.3x EV/Sales on FY26E revenue of \$720M — a premium to the historical 4-5x range but justified by the SiC/GaN secular tailwind and ~30%+ gross margin durability. Our \$175 PT (~+18% upside) assumes 40x on FY27E EPS of \$5.20, conservative versus peers KLAC/AMAT at 22-25x but appropriate given ACLS's smaller scale and customer concentration. Multiple compression risk if SiC capex pauses materialize at Wolfspeed/onsemi; expansion driver is memory implant re-entry.

KEY RISKS

- SiC power device overcapacity at Chinese/Korean customers could compress Power 360 backlog into 2027.
- China revenue exposure (~40%+) vulnerable to incremental U.S. export controls on mature-node equipment.
- Bearish institutional ownership signal (1.1%) and concentrated top-3 holders (BlackRock+Vanguard+FMR = 32%) create forced-selling risk on any guide-down.

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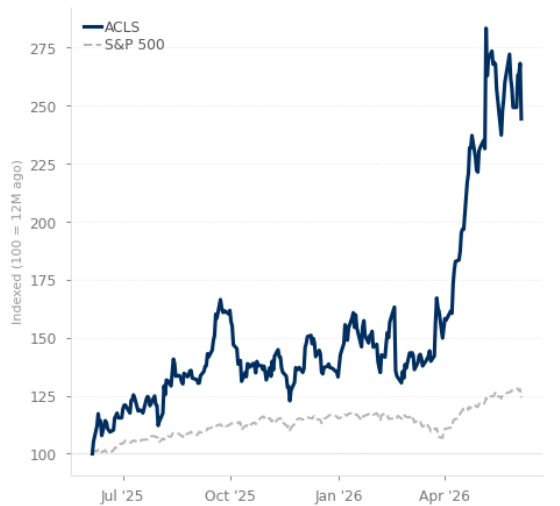
Key Data

Price (USD)	\$147.64
12M Price Target	\$175.00
Upside / (Downside)	+18.5%
Market Cap	\$4.54B
FY2026E Revenue	\$720M
FY2027E Revenue	\$850M
FY2026E EPS	\$3.85
FY2027E EPS	\$5.20
Fwd P/E	38.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$165.00	\$152.00	\$135.00
6 Months	\$185.00	\$165.00	\$130.00
1 Year	\$210.00	\$175.00	\$120.00
2 Years	\$260.00	\$200.00	\$110.00
5 Years	\$380.00	\$280.00	\$130.00
10 Years	\$600.00	\$400.00	\$150.00

SECTOR INTELLIGENCE

HOT SECTORS: Consumer Staples, Healthcare

COLD SECTORS: Industrials, Semicap (today)

ROTATION WATCH: Defensive bid (Staples +2.16%, Healthcare +0.79%) versus cyclical fade (Industrials -1.35%) signals risk-off positioning ahead of macro data; semicap equipment trades with Industrials beta and saw sympathy selling today.

BYPRODUCT PLAY: Power semiconductor capex recovery benefits not just ACLS but also Aehr Test Systems (AEHR) on SiC burn-in and Entegris (ENTG) on consumables; mature-node WFE recovery is a tailwind for ASMI and Kokusai.

OUTPERFORMERS & PEER CONTEXT

- KLIC (Kulicke & Soffa): Zacks 5/19 highlight on multiple growth drivers; back-end packaging exposure tracks ACLS's specialty equipment beta with less China risk.
- MU (Micron): 5/26 Motley Fool cross-reference identifies ACLS as a "love this" semi name on memory implant optionality.

ACLS CONTEXT: ACLS has been pulling away from broader semicap peers YTD given the SiC narrative — at 79% of 52-week range and post-golden cross, it was extended versus AMAT/LRCX. Today's pullback narrows that gap and is healthy consolidation rather than thesis break.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$140-148 on continued pullback; add on hold of 50-DMA

Time Horizon: 12-18 months

Thesis Invalidation: SiC/power demand deterioration or >15% revenue guide-down

Hedging: Pair with short AMAT or LRCX to isolate ion-implant alpha